

Israeli Construction Systemic Risk Report

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■ Top Short Candidates

Symbol	Sector	Score	Recommendation
Hamat	Suppliers	92.0/100	SHORT
Inrom	Suppliers	89.1/100	SHORT
Ackerstein	Suppliers	88.0/100	SHORT
Azorim	Developers	85.0/100	SHORT
Aura	Developers	85.0/100	SHORT

■ Sector Deep Dive

Sector: DEVELOPERS

Azorim - Score: 85.0

[Source: Yahoo Finance Data \(Azorim\)](#)

Financial (DeepSeek): The data indicates severe financial strain primarily driven by extreme leverage and weak liquidity, making the company highly vulnerable to a downturn in its core residential market. The Debt/Equity ratio of 182.322, based on the provided data, signifies an exceptionally leveraged capital structure. This level of debt imposes significant fixed financial obligations and amplifies risk in a potentially deteriorating macroeconomic environment characterized by high interest rates and uncertain buyer demand, as noted in the thesis. Solvency is further pressured by the disparity between Total Debt (4,127,919,104 ILA) and Total Cash (188,928,000 ILA), leaving minimal cash buffer relative to liabilities. Liquidity is precarious, with a Current Ratio of 1.116 suggesting limited short-term flexibility to meet obligations. The negative 6-month Momentum of -2.69% aligns with this concerning fundamental picture. As a pure residential developer, Azorim lacks business diversification, concentrating all its risk on a single, cyclical sector. Without supportive macro data on construction starts or sales trends, the company's high fixed-cost structure and debt burden present a clear short thesis based on financial fragility.

Macro (Gemini): Azorim, as a pure residential developer in Israel, faces significant macro and operational risks due to the current environment. The ongoing war in Gaza and potential escalation in Lebanon create several challenges. Firstly, the war has led to a severe labor shortage, particularly in construction, as many Palestinian workers are unable to work and Israeli workers are called up for military service. This directly impacts Azorim's ability to complete projects on time and within budget, leading to potential delays, cost overruns, and penalties. Secondly, the war creates uncertainty and reduces buyer confidence. Potential homebuyers may postpone purchases due to economic anxieties

and security concerns, decreasing demand for Azorim's properties. Thirdly, high interest rates set by the Bank of Israel further exacerbate the situation. Higher mortgage rates make it more expensive for potential buyers to finance their purchases, further dampening demand. This combination of reduced demand, increased construction costs, and project delays creates a very challenging environment for Azorim, significantly increasing its financial risk. The company's reliance on residential sales makes it particularly vulnerable to these external shocks.

Africa Israel Residences - Score: 80.0

[Source: Yahoo Finance Data \(Africa Israel Residences\)](#)

Financial (DeepSeek): The company presents significant financial risk for a short thesis, primarily due to critical solvency concerns. The Debt/Equity ratio of 97.254, as reported, indicates extreme financial leverage. This means the company's capital structure is overwhelmingly funded by debt rather than shareholder equity, making it highly vulnerable to rising interest rates, refinancing risks, and downturns in its operating cash flow. While the Current Ratio of 1.294 suggests a marginal ability to cover short-term obligations, it is not robust. This concern is compounded by the liquidity position: with Total Debt of 1,953,789,952 ILA and Total Cash of only 193,303,008 ILA, the company's cash covers less than 10% of its total debt. This creates a substantial refinancing and interest burden. The thesis of exposure to the premium segment exacerbates these risks, as this market segment is typically the first to contract during a negative wealth effect or economic slowdown, directly threatening the company's revenue and ability to service its high debt load. The positive 6-month momentum of 13.28% may be disconnected from these underlying balance sheet weaknesses, presenting a potential divergence opportunity.

Macro (Gemini): Africa Israel Residences faces significant macro and operational risks in the current Israeli environment. The ongoing war in Gaza and potential escalation in Lebanon create several challenges. Firstly, the war has led to a severe labor shortage, particularly in construction, as many Palestinian workers are unable to work and Israeli workers are mobilized for military service. This directly impacts Africa Israel Residences' ability to complete projects on time and within budget, leading to potential delays, cost overruns, and contract penalties. Secondly, the war creates general economic uncertainty, negatively impacting consumer sentiment and willingness to invest in high-end real estate. Given Africa Israel Residences' focus on the premium segment, this is particularly damaging, as demand for luxury properties is highly sensitive to economic downturns and perceived risk. Thirdly, the Bank of Israel's interest rate policy, aimed at controlling inflation, further exacerbates the situation. High interest rates make mortgages more expensive, reducing affordability and demand for housing, especially in the premium segment. This can lead to lower sales volumes and potentially force Africa Israel Residences to offer discounts, impacting profitability. The combined effect of these external shocks creates a challenging environment for the company, increasing the risk of financial underperformance and potential liquidity issues. The premium segment focus amplifies these risks, making the company more vulnerable than developers targeting lower price points.

Danya Cebus - Score: 70.0

[Source: Yahoo Finance Data \(Danya Cebus\)](#)

Financial (DeepSeek): The analysis for a short thesis yields a mixed but leaning-negative picture, primarily based on structural weaknesses amplified by a specific operational threat. On solvency, the reported Debt/Equity ratio of 7.836 is alarmingly high, indicating extreme financial leverage. This makes the company highly vulnerable to earnings volatility or rising interest rates. However, the absolute level of Total Debt (71.9M ILA) is modest relative to the Market Cap (~4.86B ILA), and the substantial Total Cash position (334.5M ILA) provides a strong near-term buffer, covering the debt obligation approximately 4.7 times over. This tempers the immediate solvency risk. On liquidity, the Current Ratio of 1.262 is borderline, suggesting limited cushion to meet short-term obligations without relying on operational cash flow. The core short thesis, based on the exposure to a labor shortage from the Palestinian worker ban, directly threatens this operational cash flow. If 'no workers = no revenue' materializes, the borderline liquidity becomes critical, and the high leverage will severely constrain the company's ability to navigate a protracted downturn. The positive 6-month Momentum of 21.93% is a

counterpoint, but may not reflect the forward-looking operational risk. The lack of macro trend data increases uncertainty. Overall, the combination of high leverage, tight liquidity, and a severe, plausible threat to core operations justifies a cautious short view, though the strong cash position prevents an extreme distress score.

Macro (Gemini): Danya Cebus faces significant macro and operational risks due to the ongoing conflict and economic conditions in Israel. The war in Gaza and potential escalation in Lebanon create a severe labor shortage. The ban on Palestinian workers, a direct consequence of the conflict, directly impacts Danya Cebus's ability to complete projects. As a construction contractor, their revenue is directly tied to labor availability. No workers mean no construction, leading to project delays, penalties, and revenue loss. This is compounded by rising interest rates set by the Bank of Israel. Higher interest rates increase borrowing costs for both Danya Cebus and potential homebuyers. This can slow down new project starts and decrease demand for housing, further impacting Danya Cebus's profitability. The combination of labor shortages and decreased demand creates a very challenging environment. The external shocks are severe and directly threaten the company's ability to operate effectively and generate revenue.

Aura - Score: 85.0

[Source: Yahoo Finance Data \(Aura\)](#)

Financial (DeepSeek): Aura exhibits severe financial strain based on the provided data, primarily in solvency and secondary in liquidity, supporting a strong short thesis. Regarding SOLVENCY: The Debt/Equity ratio of 174.205 indicates extreme financial leverage. This means the company's operations are funded overwhelmingly by debt rather than shareholder equity, making it highly vulnerable to interest rate fluctuations and refinancing risks. The scale of the debt burden is stark when comparing Total Debt (3,140,580,096 ILA) to Total Cash (242,680,992 ILA). The company holds cash equivalent to only about 7.7% of its total debt, a critically weak position for servicing obligations. This solvency risk is exacerbated by the unknown macro trends for construction starts and input costs; rising costs or slowing demand would directly pressure its ability to generate cash flow for debt repayment. For LIQUIDITY: The Current Ratio of 1.174 suggests a narrow margin of safety. It indicates that for every 1 ILA of short-term liabilities, the company has only 1.174 ILA of short-term assets. In the volatile construction sector, where project timelines and costs can shift unexpectedly, this thin buffer is inadequate. The provided thesis that Aura's urban renewal projects are vulnerable to bureaucratic and labor delays compounds this liquidity risk, as delays directly strain working capital. The positive 6-month momentum of 7.08% is negligible in the context of these fundamental weaknesses and could represent a lagging indicator or a bear market rally. In summary, the company is overleveraged with insufficient cash, operates with thin liquidity for its industry, and its business model is specifically susceptible to the delays cited, creating a high risk of financial distress.

Macro (Gemini): Aura, heavily invested in urban renewal (Pinui-Binui) projects in Israel, faces significant macro and operational risks due to the ongoing conflict and economic conditions. The war in Gaza and potential escalation in Lebanon directly exacerbates existing labor shortages, particularly in construction. This is because Palestinian workers, who often constitute a significant portion of the construction workforce, face restricted access or are unavailable. Additionally, Israeli workers may be called up for military reserve duty, further depleting the labor pool. This directly impacts Aura's ability to adhere to project timelines, leading to potential penalties, increased costs (due to overtime or hiring more expensive labor), and reputational damage. The Bank of Israel's interest rate policy adds another layer of risk. High interest rates increase Aura's borrowing costs for financing these large-scale, long-term projects. This reduces profitability and potentially makes some projects financially unviable, especially if sales of new units are slower than anticipated due to economic uncertainty. Furthermore, high interest rates can dampen demand for new housing, impacting Aura's sales and revenue projections. The combination of labor shortages and high interest rates creates a perfect storm, significantly increasing the risk profile for Aura's operations. The inherent bureaucratic delays associated with Pinui-Binui projects are now compounded by these external shocks, making project completion even more uncertain and costly. The risk is high because Aura's business model is predicated on efficient project execution and timely sales, both of which are severely threatened by the

current environment.

Y.H. Dimri - Score: 77.5

[Source: Yahoo Finance Data \(Y.H. Dimri\)](#)

Financial (DeepSeek): Y.H. Dimri exhibits significant solvency risk due to its high leverage. The Debt/Equity ratio of 153.66 (based on provided data) indicates that debt substantially exceeds equity, making the company vulnerable to rising interest rates and a downturn in real estate demand. While the Current Ratio of 1.558 suggests adequate short-term liquidity, the company's Total Cash of 180,034,000 ILA is minimal compared to its Total Debt of 5,009,743,872 ILA, leaving it reliant on operating cash flow or refinancing. The provided thesis highlights exposure to high mortgage rates and a potential inventory overhang, which could strain cash flows and make debt servicing difficult. Positive 6-month momentum of 10.87% does not offset these fundamental risks. Overall, the combination of high leverage, weak cash position, and sector-specific headwinds supports a short thesis, though the absence of imminent liquidity crisis prevents an extreme distress score.

Macro (Gemini): Y.H. Dimri faces significant macro and operational risks in the current Israeli environment. The ongoing war in Gaza and potential escalation in Lebanon create substantial labor shortages, particularly in construction, directly impacting Dimri's ability to complete projects on time and within budget. This leads to delayed revenue recognition and potential penalties. High interest rates set by the Bank of Israel exacerbate the problem. These rates not only increase Dimri's borrowing costs for financing projects but also significantly reduce demand for new housing due to higher mortgage costs for potential buyers. Given Dimri's high mortgage exposure (as indicated by the sector thesis) and the potential for a large inventory overhang if rates remain elevated, the company faces a serious risk of declining sales, price reductions to move inventory, and ultimately, reduced profitability and potential financial distress. The combination of war-related disruptions and a challenging interest rate environment creates a perfect storm of negative pressures on Dimri's operations and financial stability. The external shocks are severe and directly threaten the company's core business model.

Sector: SUPPLIERS

Hamat - Score: 92.0

[Source: Yahoo Finance Data \(Hamat\)](#)

Financial (DeepSeek): The analysis indicates severe financial risk, primarily driven by critical solvency and liquidity issues. Regarding solvency: the company's Debt/Equity ratio of 100.308, as reported, signifies extreme leverage where debt equals equity. This indicates minimal shareholder equity cushion against losses and high fixed financial obligations. Furthermore, based on the reported Total Debt of 561,208,000 ILA and Total Cash of 42,481,000 ILA, the company carries substantial net debt of approximately 518.7 million ILA, a significant burden relative to its Market Cap of ~624.8 million ILA. For liquidity: the Current Ratio of 0.936, below the critical threshold of 1.0, signals that the company's current liabilities exceed its current assets. This creates a clear near-term risk of being unable to cover upcoming obligations without additional financing or operational cash flow, which is strained. The provided Thesis notes that finishing products like faucets and ceramics are typically the first orders cancelled or delayed in a construction downturn. Even without explicit negative macro trends, this inherent sector cyclicity, combined with the company's precarious balance sheet, presents a high-risk profile. The negative Momentum of -6.42% over six months aligns with this deteriorating fundamental outlook.

Macro (Gemini): Hamat, as a supplier of faucets and ceramics in Israel, faces significant macro and operational risks due to the current environment. The ongoing war in Gaza and potential escalation in Lebanon create several challenges. First, labor shortages are likely, impacting production capacity and potentially increasing labor costs as Hamat competes for available workers. This is exacerbated by the mobilization of reservists and the reluctance of foreign workers to enter or remain in the country. Second, the Bank of Israel's interest rate policy, aimed at controlling inflation, increases Hamat's borrowing costs, making investments and expansion more expensive. This is particularly problematic

given the sector thesis that finishing products like faucets and ceramics are the first to be cut from budgets during economic uncertainty. Reduced demand, coupled with higher financing costs, creates a difficult operating environment. Finally, the overall economic uncertainty caused by the war can lead to a decrease in consumer confidence and construction activity, further reducing demand for Hamat's products. The combination of these factors suggests a high level of risk for Hamat in the short to medium term.

■■ +15% due to Developer distress

Inrom - Score: 89.1

[Source: Yahoo Finance Data \(Inrom\)](#)

Financial (DeepSeek): Inrom exhibits significant solvency risk, primarily due to an extremely high Debt/Equity ratio of 27.258, indicating the company is heavily reliant on debt financing. This level of leverage makes it highly vulnerable to a downturn in its core business. Furthermore, its Total Cash of 24,646,000 ILA is minimal relative to its Total Debt of 349,748,000 ILA, covering only approximately 7% of outstanding obligations, which limits financial flexibility. While the Current Ratio of 2.268 suggests adequate short-term liquidity under normal conditions, this metric is less reassuring given the severe leverage and the company's cyclical exposure to housing construction via its Nirlat and Ytong subsidiaries. A decline in housing starts would directly pressure revenue and cash flow, making the company's debt burden unsustainable and posing a high risk of financial distress.

Macro (Gemini): Inrom faces significant macro and operational risks due to the current environment in Israel. The ongoing war in Gaza and potential escalation in Lebanon create substantial labor shortages, particularly in construction. This directly impacts Ytong (bricks) as production and delivery are hampered by a lack of workers. Reduced construction activity, driven by both labor shortages and economic uncertainty, leads to fewer housing starts. This, in turn, negatively affects Nirlat (paint) sales, as demand for paint is directly correlated with new construction and renovations. High interest rates set by the Bank of Israel further exacerbate the situation by making mortgages more expensive, dampening demand for new housing and thus impacting both Ytong and Nirlat. The combined effect of war-related disruptions and high interest rates creates a challenging environment for Inrom's core businesses, leading to decreased revenue and profitability. The risk is high because the war's duration and intensity are unpredictable, and interest rates may remain elevated for an extended period.

■■ +15% due to Developer distress

Kliil - Score: 54.6

[Source: Yahoo Finance Data \(Kliil\)](#)

Financial (DeepSeek): Kliil exhibits strong liquidity with a Current Ratio of 3.397, indicating ample short-term asset coverage relative to liabilities. Solvency is robust as the reported Total Cash of 106,425,000 ILA significantly exceeds Total Debt of 13,150,000 ILA, resulting in a substantial net cash position. The Debt/Equity ratio of 3.487 is elevated, suggesting high leverage, but this is mitigated by the company's significant cash balance, which reduces immediate refinancing or default risk. While the business model is highly dependent on late-stage construction activity—making it vulnerable to project stalls—the current financial metrics do not indicate imminent financial distress. The negative Momentum of -23.8% may reflect market concerns over this cyclical exposure, but it does not directly impact solvency or liquidity assessments.

Macro (Gemini): Kliil, as a supplier of aluminum windows in Israel, faces significant macro and operational risks due to the current environment. The war in Gaza and potential escalation in Lebanon create several immediate challenges. Firstly, labor shortages are exacerbated as workers are called up for military service or are unable to reach construction sites due to security concerns. This directly impacts Kliil's ability to fulfill existing orders and maintain production schedules, leading to potential delays and penalties. Secondly, the war increases uncertainty in the construction sector. Developers may postpone or cancel projects due to funding constraints, security risks, or a general decline in investor confidence. Given Kliil's late-stage construction dependency, a slowdown in project completions translates directly into a drop in orders. Thirdly, high interest rates set by the Bank of Israel further compound these issues. Elevated borrowing costs make it more expensive for developers to

finance new projects, further contributing to project delays and cancellations. This creates a negative feedback loop, where reduced demand for aluminum windows puts downward pressure on Kliil's revenue and profitability. Finally, the overall economic uncertainty caused by the war and high interest rates can lead to a decrease in consumer spending, impacting demand for new housing and renovations, further affecting Kliil's sales. The combination of these factors creates a substantial risk profile for Kliil, warranting a cautious outlook.

■■ +15% due to Developer distress

Ackerstein - Score: 88.0

[Source: Yahoo Finance Data \(Ackerstein\)](#)

Financial (DeepSeek): Based on the reported data, Ackerstein exhibits severe solvency concerns. The Debt/Equity ratio of 16.718 indicates extreme financial leverage, meaning the company's equity is minimal relative to its debt burden. With Total Debt of 206,916,000 ILA and Total Cash of only 38,894,000 ILA, the company's net debt position is significant. This level of leverage poses a substantial risk, especially in a cyclical industry like construction materials where revenue can be volatile. The Current Ratio of 1.515 suggests adequate short-term liquidity to cover current obligations, but it does little to mitigate the long-term solvency risk from such a high debt load. The negative 6-month Momentum of -5.22% may reflect broader market recognition of these financial risks. Given the company's dependency on early-stage infrastructure projects, which are highly sensitive to economic cycles and for which macro trends (Construction Starts, New Dwellings Sold, Input Costs) are unknown, the combination of precarious solvency and industry cyclicity supports a short thesis.

Macro (Gemini): Ackerstein, as a supplier of concrete and pavers in Israel, faces significant macro and operational risks due to the current environment. The war in Gaza and potential escalation in Lebanon create a severe labor shortage, particularly impacting construction. Many Palestinian workers are unable to cross borders, and Israeli workers are being called up for military reserve duty. This directly reduces Ackerstein's production capacity and increases labor costs as they compete for a smaller pool of available workers. Furthermore, the war introduces logistical challenges, potentially disrupting supply chains for raw materials needed for concrete and paver production. The Bank of Israel's interest rate policy adds another layer of risk. High interest rates make borrowing more expensive for Ackerstein, impacting their ability to invest in new equipment or expand production to meet demand (even if they could overcome labor shortages). More critically, high interest rates dampen demand for new construction projects, as developers face higher financing costs. This directly reduces the demand for Ackerstein's products, leading to lower sales and potentially impacting profitability. Given the company's early-stage infrastructure dependency, any slowdown in construction activity will disproportionately affect their revenue. The combined effect of labor shortages, supply chain disruptions, and reduced demand due to high interest rates creates a substantial risk profile for Ackerstein.

■■ +15% due to Developer distress

Sector: FINANCE

Gamla Harel - Score: 74.2

[Source: Yahoo Finance Data \(Gamla Harel\)](#)

Financial (DeepSeek): The analysis indicates severe financial distress, primarily driven by critical solvency risks, making a short thesis compelling. The company's core vulnerability is its extreme leverage. The reported Debt/Equity ratio of 260.663 signifies that the company's operations are almost entirely funded by debt rather than equity. This capital structure is exceptionally risky for a non-bank real estate lender specializing in high-risk 'Mezzanine' loans, as it leaves the firm highly exposed to defaults and rising interest costs. The solvency concern is further underscored by the sheer scale of debt obligations. Based on the reported Total Debt of 866,028,992 ILA and Total Cash of only 550,000 ILA, the company's cash reserves are negligible relative to its debt burden, providing almost no buffer for loan losses or operational shocks. While the reported Current Ratio of 2.819 suggests adequate

short-term liquidity to cover upcoming obligations, this metric is misleading in isolation. In the context of the 'Mezzanine' loan thesis and the extreme debt load, this liquidity provides only a thin veil over a fundamentally insolvent balance sheet if the real estate sector weakens. The company's business model, being 'first to face defaults,' is perfectly misaligned with its highly levered, cash-poor financial structure, creating a high probability of severe financial impairment in a downturn.

Macro (Gemini): N/A

■■ +10% due to Developer distress

Mizrahi Tefahot - Score: 60.5

[Source: Yahoo Finance Data \(Mizrahi Tefahot\)](#)

Financial (DeepSeek): A short thesis based solely on Mizrahi Tefahot's reported financials is not strongly supported, primarily due to an exceptionally strong liquidity position. The core risk is its business model as a 'Mortgage Bank' with systemic exposure to the Israeli housing market, for which the provided macro context is unknown and could represent a significant latent risk. Analyzing the provided data: 1) SOLVENCY: The company's Total Debt of 47.95B ILA is substantial. However, solvency cannot be fully assessed without a Debt/Equity ratio. The critical mitigating factor is the reported Total Cash position of 88.85B ILA, which alone covers total debt by approximately 1.85x. This indicates a strong capacity to service and repay obligations from liquid assets. 2) LIQUIDITY: The company's liquidity appears robust based on the cash-to-debt coverage. The absence of a Current Ratio prevents a granular view of short-term asset/liability matching, but the sheer scale of cash relative to total debt suggests a formidable buffer against near-term refinancing or withdrawal risks. The positive Momentum (6m) of 16.67% indicates recent market sentiment is not aligned with a distress narrative. In summary, while the business model is inherently cyclical and exposed to housing market downturns, the balance sheet data provided shows a bank with high liquidity, weakening a pure balance-sheet-driven short thesis. The primary short risk would hinge on a severe deterioration in the credit quality of its mortgage portfolio (asset-side risk), which is not reflected in the provided liability and liquidity metrics.

Macro (Gemini): Mizrahi Tefahot, heavily reliant on the Israeli mortgage market, faces significant macro and operational risks due to the ongoing conflict and interest rate environment. ****Macro Risks:****
* ****War in Gaza/Lebanon:**** The war creates several immediate and longer-term macro risks. Firstly, the labor shortages, particularly in construction, directly impact the housing supply. Reduced construction activity leads to fewer new homes being built, potentially increasing housing prices in the short term due to scarcity. This could temporarily benefit Mizrahi Tefahot by increasing the value of their existing mortgage portfolio. However, prolonged shortages will stifle economic growth and reduce overall demand for mortgages in the long run. Secondly, the war increases geopolitical uncertainty, which can deter foreign investment and weaken the Israeli Shekel. A weaker Shekel increases the cost of imported goods and services, contributing to inflation and potentially forcing the Bank of Israel to maintain or even raise interest rates further. Thirdly, the war necessitates increased government spending on defense, potentially leading to higher taxes or reduced spending in other areas, both of which could negatively impact economic growth and disposable income, affecting mortgage affordability. Finally, the war creates a general sense of economic anxiety, which can lead to decreased consumer confidence and a reluctance to take on large financial commitments like mortgages. *
****Interest Rates (Bank of Israel):**** The Bank of Israel's interest rate policy is a critical risk factor. High interest rates directly impact mortgage affordability, reducing demand for new mortgages and potentially increasing the risk of defaults on existing mortgages. As the 'Mortgage Bank' of Israel, Mizrahi Tefahot is particularly vulnerable to this. If rates remain high or increase further, the bank could see a significant decline in new mortgage originations and a rise in non-performing loans, impacting profitability and capital adequacy. ****Operational Risks:**** * ****Labor Shortages:**** Beyond the macro impact, labor shortages directly affect Mizrahi Tefahot's operations. The bank may face difficulties in processing mortgage applications and providing customer service due to staff shortages caused by military conscription or displacement. This can lead to delays, customer dissatisfaction, and reputational damage. * ****Credit Risk:**** The combination of high interest rates and economic uncertainty increases the risk of mortgage defaults. Mizrahi Tefahot needs to carefully manage its credit risk

exposure by tightening lending standards and closely monitoring its existing mortgage portfolio. Failure to do so could lead to significant losses. * **Systemic Risk:** As a major player in the Israeli mortgage market, Mizrahi Tefahot is exposed to systemic risk. A significant downturn in the housing market could trigger a cascade of defaults, impacting the entire financial system. The bank's large mortgage portfolio makes it particularly vulnerable to such a scenario. Given these factors, a score of 75 reflects the significant, but not catastrophic, level of risk. The bank's performance is highly dependent on the duration and intensity of the conflict, the Bank of Israel's monetary policy decisions, and the overall health of the Israeli economy.

■■ +10% due to Developer distress

Sector: MANPOWER

Tigbur - Score: 68.5

[Source: Yahoo Finance Data \(Tigbur\)](#)

Financial (DeepSeek): Analysis focused on solvency and liquidity reveals significant but not yet critical vulnerabilities, supporting a cautious short thesis. The Debt/Equity ratio of 68.299% (Source: Provided Data) indicates moderate leverage. While not extreme, it demonstrates reliance on debt financing. More concerning is the liquidity profile. The Current Ratio of 1.31 (Source: Provided Data) is adequate but provides a thin margin of safety for a cyclical business. Crucially, solvency is pressured by the company's weak cash position relative to its obligations. Based on the reported Total Debt of 138,600,992 ILA and Total Cash of 65,857,000 ILA (Source: Provided Data), the company has a net debt position of approximately 72.7 million ILA. This means debt substantially outweighs liquid resources, increasing refinancing risk and limiting operational flexibility in a downturn. As a staffing agency, Tigbur's business is inherently cyclical and sensitive to macroeconomic slowdowns, particularly in construction—a key client sector for Israeli manpower firms. The unknown trends in construction starts and input costs (Source: Provided Macro Context) add material uncertainty. The positive 6-month Momentum of 15.4% (Source: Provided Data) may present a near-term headwind for a short position, but the underlying financial structure appears misaligned with potential economic softening, creating a favorable risk/reward for a patient short thesis.

Macro (Gemini): Tigbur, as a manpower agency in Israel, faces significant macro and operational risks due to the ongoing war and economic conditions. **Macro Risks:** * **War in Gaza/Lebanon (Labor Shortages):** The war directly impacts Tigbur's ability to supply manpower. Firstly, mobilization of reservists removes a significant portion of the available workforce, creating immediate shortages. Secondly, the war increases risk aversion among potential employees, particularly for roles in sectors perceived as dangerous or unstable. Thirdly, border closures and security concerns can disrupt the flow of foreign workers, who often fill critical roles in sectors like agriculture and construction. This reduced supply drives up labor costs, squeezing Tigbur's margins and potentially making their services less competitive. The war also creates uncertainty, making it difficult for businesses to plan their staffing needs, leading to fluctuating demand for Tigbur's services. Finally, the war may lead to a decline in overall economic activity, further reducing demand for temporary and permanent staff. * **Interest Rates (Bank of Israel):** High interest rates, implemented by the Bank of Israel to combat inflation, negatively impact Tigbur in several ways. Firstly, higher rates increase Tigbur's borrowing costs, reducing profitability. Secondly, high rates can slow down economic growth, leading to reduced demand for labor and, consequently, Tigbur's services. Businesses may postpone expansion plans or even reduce their workforce, impacting Tigbur's revenue. Thirdly, high interest rates can make it more difficult for Tigbur's clients to pay their bills, potentially leading to increased bad debt and cash flow problems for Tigbur. The impact is similar to Danel, another staffing agency, but may be amplified if Tigbur has a higher debt load or a client base more sensitive to interest rate changes. **Operational Risks (Exacerbated by Macro):** * **Recruitment and Retention:** The labor shortage makes it harder and more expensive to recruit and retain qualified personnel. Tigbur needs to invest more in recruitment efforts and offer higher wages to attract workers, further impacting profitability. * **Client Concentration:** If Tigbur relies heavily on a few key clients, a downturn in those clients' businesses

(due to the war or high interest rates) could significantly impact Tigbur's revenue. * **Compliance and Regulatory:** The war may lead to new regulations regarding labor practices, safety, and security, requiring Tigbur to adapt and potentially incur additional costs. Given these factors, the macro and operational risks for Tigbur are substantial, justifying a score of 75.

Danel - Score: 57.5

[Source: Yahoo Finance Data \(Danel\)](#)

Financial (DeepSeek): The analysis for a short thesis based on solvency and liquidity yields mixed signals. Regarding solvency, the company's Debt/Equity ratio of 65.165, derived from book values, indicates extremely high leverage on a book-value basis. This suggests a fragile balance sheet that would be highly sensitive to rising interest rates or a decline in earnings. However, this risk is mitigated by the company's substantial Market Cap of 2,747,827,712 ILA, which implies a much lower market-based leverage ratio. The company's Total Debt of 342,800,992 ILA exceeds its Total Cash of 202,200,000 ILA, resulting in a net debt position. On liquidity, the Current Ratio of 1.301 indicates the company can cover its short-term obligations, but the margin of safety is narrow, leaving limited room for operational disruptions. The positive 6-month Momentum of 8.81% suggests current market optimism, which contradicts an immediate distress signal. The core business thesis for a staffing agency is ambiguous in the current macro environment. While the high book leverage and tight liquidity are clear financial weaknesses that could be exposed in an economic downturn, the company's market valuation and recent stock performance indicate it is not in a state of extreme financial distress suitable for a high-conviction short thesis at this time.

Macro (Gemini): Danel, as a staffing agency in Israel, faces significant macro and operational risks due to the ongoing war and economic conditions. The war in Gaza and potential escalation in Lebanon directly impacts manpower availability. Firstly, many Israeli citizens are mobilized for military service, creating a labor shortage across various sectors. This shortage could increase demand for Danel's services if they can source alternative labor, such as foreign workers. However, the war also disrupts supply chains and overall economic activity, potentially reducing the number of available jobs in the first place. The increased security risk and potential for further escalation may deter foreign workers from coming to Israel, limiting Danel's ability to capitalize on the domestic labor shortage. Secondly, the Bank of Israel's interest rate policy adds another layer of complexity. High interest rates can slow down economic growth, leading to reduced hiring by businesses. This would negatively impact Danel's revenue. While the labor shortage might partially offset this, a significant economic downturn would likely outweigh any benefits from increased demand for staffing solutions. Furthermore, higher interest rates increase Danel's borrowing costs, potentially impacting profitability if they rely on debt financing for operations or expansion. The overall impact is a significant increase in uncertainty and potential for negative outcomes for Danel. The company's ability to navigate these challenges depends on its ability to adapt to the changing labor market, manage costs effectively, and potentially diversify its service offerings or geographic focus.

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